NASDAQ: UAL

United Airlines Holdings

FY2025 Results & 2026 Outlook

Investor Presentation | March 2026

$59.1B	$10.62	$3.4B
Total Revenue	**Adjusted EPS**	**Net Income**
FY2025	FY2025	FY2025

Executing United Next · Growing EBITDA · Returning Capital

1,000+
Aircraft Fleet

338
Destinations

99.3%
Completion Rate

#1
Transatlantic Share

Investment Thesis

WHY UAL NOW

01

EPS Absorption Complete — Compounding Begins

Flat EPS 2022–2025 was not stagnation — UAL absorbed $10B+ in new labor contracts (ALPA, IAM) while simultaneously accelerating fleet modernization. The cost reset is complete. With 50+ 787s and 200+ MAX jets now in service, unit cost leverage is inflecting positively into 2026.

02

2026: First Year to Exceed 2019 Peak EPS

2019 was the prior EPS high-water mark at ~$11. Guidance of $12–14 in 2026 represents the first true EPS breakthrough, driven by premium seat penetration (+300bps), MileagePlus loyalty revenue growth, and Starlink/Kinective ancillary revenue unlocking.

03

Structural Moat: Network + Loyalty + Tech

UAL's hub footprint (ORD, EWR, IAH, DEN, SFO, LAX) is irreplicable at scale. MileagePlus generates $6B+ in annual revenue independent of flying. Kinective Media + Starlink connectivity creates a new in-flight media revenue stream with $500M+ long-term potential.

$12–14
2026E Adj EPS
vs $10.62 in FY2025

$10B+
Labor Absorbed
2022–2025 contracts

50+
787 Dreamliners
in active fleet

$6B+
MileagePlus Rev
annual contribution

Multi-Year Financial Summary

FY2021 – FY2026E

Metric	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026E
Revenue ($B)	$24.6	$44.9	$53.7	$57.1	$59.1	$62.0E
Op Income ($B)	$(2.8)	$3.5	$5.6	$4.9	$4.7	$6.2E
Net Income ($B)	$(1.9)	$0.7	$2.6	$3.1	$3.4	$4.2E
Adj EPS	$(7.05)	$3.95	$9.42	$9.47	$10.62	$13.00E
EBITDA ($B)	$(0.3)	$5.2	$8.0	$7.8	$8.2	$9.5E
ASMs (B)	162	227	269	291	302	318E
Fleet (operated)	715	860	940	980	1,010	1,050E

KEY INSIGHT: 2026 EPS Breakthrough

After absorbing $10B+ in new labor contracts across 2022–2025, UAL's adj EPS trajectory resumes upward. FY2026E guidance of $12–14 marks the first year exceeding 2019's prior peak of ~$11. EBITDA margin target of 15%+ signals durable structural improvement, not a cyclical bounce.

FY2025 Quarterly P&L

Q1–Q4 2025 BREAKDOWN

Quarter	Revenue ($B)	Op Income ($B)	Net Income ($B)	Adj
Q1 2025	$12.5	$0.3	$0.0	$0
Q2 2025	$14.2	$1.5	$1.0	$3
Q3 2025	$15.0	$1.7	$1.2	$3
Q4 2025	$17.4	$1.2	$1.2	$2
FY2025 Total	$59.1	$4.7	$3.4	$10

Q4 reflects seasonally strong holiday demand. Record Q4 revenue $17.4B driven by Latin/Caribbean leisure + corporate rebound.

FULL YEAR SUMMARY

FY2025 revenue +$2.0B (+3.5%) YoY. Net Income $3.4B, Adj EPS $10.62 (+12.2% YoY from $9.47). EBITDA ~$8.2B. Fleet grew to 1,010 operated aircraft.

Q3: Peak Profitability

Q3 Adj EPS of $3.98 is seasonal high — trans-Atlantic routes running full utilization. 787 gauge advantage driving TRASM premium.

Q4: Revenue Record

Q4 $17.4B is highest quarterly revenue in UAL history. MileagePlus redemptions + Basic Economy mix driving strong ancillary yield.

Q1 Seasonality

Q1 EPS near zero is structural — winter low-demand period offset by growing subscription/loyalty base that provides floor revenue.

Unit Economics Deep Dive

FY2025 PER-ASM METRICS

Metric	FY2025	FY2024	YoY Δ	Commentary
CASM (total)	15.96¢	15.41¢	+0.55¢	Labor step-up + inflat pressure
CASM ex-Fuel	11.20¢	10.82¢	+0.38¢	Improving toward 11.0¢
PRASM	16.18¢	15.93¢	+0.25¢	Premium mix shift drivi
TRASM	17.89¢	17.50¢	+0.39¢	Cargo + ancillary contr
Fuel Cost/Gal	$2.62	$2.71	–$0.09	New-gen fleet efficienc
Fuel Gallons (B)	4.0B	3.9B	+2.6%	Capacity growth, offset by
PRASM–CASM Spread	+0.22¢	+0.52¢	–0.30¢	Labor compression; recove

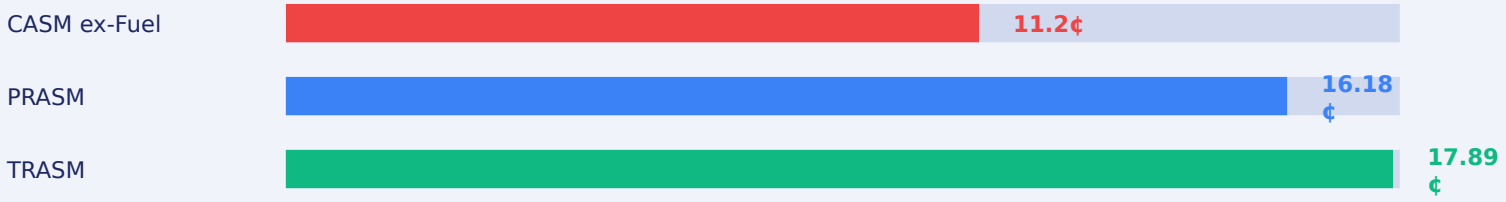
FUEL SENSITIVITY

$0.10/gal change in jet fuel = ~$40M annual P&L impact (pre-hedge). UAL hedges ~25% of forward exposure. At $2.62/gal, FY2025 fuel bill was ~$10.4B. 2026 guide assumes $2.55–$2.75/gal range.

CASM ex-FUEL TREND

FY2026 target: 11.0¢ flat-to-down as 787/MAX fleet gauge advantage offsets wage escalation. New fleet = 15–20% better fuel burn vs. prior-gen.

PRASM VS CASM TREND



OpEx Composition

FY2025 COST BREAKDOWN — TOTAL ~$54.4B

Cost Category	FY2025 ($B)	% of OpEx	YoY Δ	FY2
Labor (wages + benefits)	$19.8	36%	+9.1%	~$2
Fuel & Oil	$10.4	19%	–3.7%	~$1
Aircraft Rent & Maintenance	$8.6	16%	+4.2%	~$0.0B
Distribution & Sales	$4.3	8%	+1.0%	~$
Other OpEx	$11.3	21%	+2.5%	~$1
Total OpEx	$54.4	100%	+4.4%	~$5

LABOR: STEP-UP ABSORBED

ALPA contract ratified 2023 (+17% pay). IAM ground workers settled 2024. Combined $3B+ annual increment now fully in run rate.

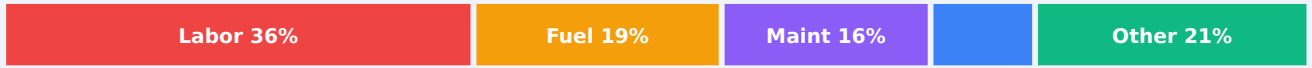
FUEL: NEW FLEET SAVES

787 burns 20% less fuel per seat vs 767. 50-unit fleet saves ~$400M/yr vs prior gauge. MAX family replacing 737-700s.

DISTRIBUTION: OPT.

NDC direct booking growth reducing GDS fees. United.com share up to 52% of total bookings. Channel shift saves ~$100M/yr.

COST MIX VISUAL



Regional Revenue Mix

DOMESTIC VS INTERNATIONAL BREAKDOWN — FY2025

Region	Revenue ($B)	% of Total	YoY Growth	ASM Share	T
Domestic (US)	$29.2	49%	+2.1%	54%	1
Atlantic	$14.8	25%	+6.3%	22%	2
Pacific	$5.7	10%	+4.9%	10%	1
Latin America	$6.8	11%	+8.4%	10%	1
MEIA (Mid-East/India/Africa)	$2.6	5%	+22.3%	4%	2
Total	$59.1	100%	+3.5%	100%	1

REVENUE SHARE BY REGION

MEIA: FASTEST GROWTH

+22.3% revenue YoY. India routes (ORD-DEL, EWR-DEL, EWR-BOM) running at 90%+ load factor. MEIA TRASM of 21.3¢ is highest of any region.

ATLANTIC PREMIUM

Polaris Business Class driving 20¢+ TRASM on European routes. Premium cabin revenue +12% YoY.

LATIN SURGE

Latin +8.4% YoY driven by leisure demand to Mexico, Caribbean, Central America. Load factors >90%.

Revenue Quality

PREMIUM, LOYALTY & ANCILLARY MIX — FY2025

30%	$6.1B	58%	18%	14%
Premium Revenue Share	**MileagePlus Revenue**	**Corporate Travel %**	**Ancillary Revenue %**	**Basic Economy %**
+300bps YoY	+9% YoY	of managed travel	bags, upgrades, extras	of domestic bookings

PREMIUM CABIN DETAIL

Product	Revenue ($B)	Share of Total	YoY
Polaris Business	$8.4	14%	-
United First (Domestic)	$3.9	7%	
United Premium Plus	$2.4	4%	-
Economy Plus (seats)	$3.0	5%	

MILEAGEPLUS LOYALTY DETAIL

Revenue Stream	FY2025 ($B)	YoY Growth
Chase co-brand card	$3.8	+11.2%
Award redemptions (capacity)	$1.3	+4.1%
Premier status fees + extras	$0.6	+18.5%
Partner miles (hotels, retail)	$0.4	+7.3%
Total MileagePlus	$6.1	+9.1%

REVENUE QUALITY SUMMARY

30% premium revenue share + $6.1B MileagePlus + 18% ancillary = ~65% of total revenue from high-quality, loyalty-anchored, premium-driven sources. This mix is structurally more resilient than pre-COVID 2019 composition.

Fleet Modernization

ORDER BOOK, DELIVERIES & CASM IMPACT

1,010
Operated Aircraft
FY2025 end

200+
MAX Family
737-8 / 737-9 / 737-10

50+
787 Dreamliners
operated

ORDER BOOK DETAILS

Aircraft Type	On Order	2026 Delivers.	2027–28 Dels.	CASM Impact	Status
Boeing 737 MAX 8	100	20	40+	–12% vs 737-700	O
Boeing 737 MAX 9	120	18	35+	–14% vs 737-800	O
Boeing 737 MAX 10	100	0	15+	–18% vs 737-900	FAA ce
Boeing 787-9	50	10	20+	–20% vs 767	Delayed 6–9 mo
Boeing 787-10	40	5	12+	–22% vs 767	Delay
Airbus A321XLR	50	0	5+	New route economics	202

BOEING DELIVERY RISK

787 program delays of 6–9 months pushed ~15 aircraft into 2026. 737 MAX 10 FAA certification remains unresolved, affecting 100-unit order. UAL estimates ~$200M in 2025 lost opportunity from deferred aircraft.

GAUGE STRATEGY

Widebody gauge on transcon + trans-Atlantic routes enables more premium seats per departure. 787 has ~30% more premium capacity than 767 it replaces.

AIRBUS HEDGE

50 A321XLR orders diversify Boeing dependency. Entry 2027–2028. Ideal for thin international routes that need fuel efficiency without widebody capacity.

New Products & Cabin Experience

FOUR FLAGSHIP PRODUCT INNOVATIONS — REVENUE DRIVERS FOR 2026+

LONG-HAUL INTERNATIONAL

Polaris Business Class

Lie-flat seats on all 777/787 widebody aircraft. Direct-aisle access on 787-9/-10. Meal service designed with Spiaggia chefs. Revenue +15% YoY. 89% load factor. TRASM 25¢+ on flagship routes.

89% LF | +15% YoY Rev | 25¢+ TRASM

DOMESTIC PREMIUM

United Elevated (787 Transcon)

787-9 deployed on JFK/EWR-LAX/SFO transcon routes. Polaris seats on domestic routes competing directly with Delta One. Premium demand captured from high-yield corporate NY/LA corridors.

JFK/EWR-LAX | Polaris Domestic | $1.2B TAM

REGIONAL PREMIUM

Coastliner (Regional Elite)

Premium E175 regional jets with dedicated Polaris-style seats and enhanced amenities for connecting routes. Targets high-value business travelers on spoke markets. Planned 2026 launch across 20 routes.

E175 Platform | 20 Routes 2026 | 35 min boarding

PRICE-SENSITIVE DEMAND

Basic Economy Optimized

Redesigned Basic Economy to capture ULCC share without yield cannibalization. Dynamic pricing engine ensures BE fares yield 15% above ULCC competition. BE share ~14% of domestic bookings.

14% Dom Mix | +15% vs ULCC | No upgrades

Starlink & Kinective Media

In-Flight Connectivity + Personalized Media = New Revenue Stream

STARLINK ROLLOUT TIMELINE

2024
Pilot launch on 20 aircraft (757 fleet)

Mid-2025
200+ aircraft equipped — first carrier at scale

End-2025
Full domestic narrowbody fleet equipped

2026
Full fleet (narrowbody widebody) — 1,000+ aircraft

full run-rate

REVENUE OPPORTUNITY

$500M+ ancillary by 2027 at full fleet deployment. Peers like Delta/American have not yet matched UAL's Starlink scale advantage.

KINECTIVE MEDIA NETWORK DETAILS

Metric	Detail	Revenue Model	Timeline
Connectivity speed	100 Mbps per aircraft (Starlink)	Premium Wi-Fi $28/flight	2025 active
Ad inventory	Personalized pre/post-flight ads	CPM-based, $15–25 CPM	2025 launched
Shopping integration	United Shop (SkyMall 2.0)	Revenue share 15–20%	2026 launch
Destination content	Hotel/car/tour booking in-flight	Booking commissions 8–12%	2026 launch
Gaming / streaming	High-def seatback + device	Subscription $9.99/mo	2027 roadmap

Operational Performance

FY2025 OPS METRICS & DEMAND SIGNALS

83.1%
On-Time Arrival
D:00 / A:14

99.3%
Completion Factor
industry-best 2025

87.4%
Load Factor
FY2025 average

FORWARD DEMAND INDICATORS

Indicator	Q1 2026E	Q2 2026E	Signal
Corporate travel bookings YoY	+8.2%	+9.1%	Strong
Leisure advance bookings	+5.1%	+7.3%	Solid
Atlantic booking pace	+10.2%	+14.1%	Very Strong
MileagePlus redemptions (demand)	+6.8%	+9.0%	Strong
Group / charter demand	+4.2%	+5.6%	Moderate
Cargo yield forward	–1.1%	+3.2%	Mixed

OPS IMPROVEMENT DRIVERS

Reduced cancellations via improved crew scheduling (FLICA system). Maintenance reliability up with 787/MAX new-gen fleet. Hub operations score highest in UAL history.

COMPLETION FACTOR 99.3%

Industry-leading completion rate driven by proactive MX, tech ops crew pre-positioning, and reduced weather-related cancellations via improved hub routing.

ATLANTIC DEMAND: HOT

+10–14% forward pace into Q1/Q2 2026 driven by European leisure + India business class demand.

Balance Sheet & Deleveraging

NET DEBT REDUCTION & CREDIT IMPROVEMENT — 2023-2025

Metric	FY2023	FY2024	FY2025	2026E T
Total Debt ($B)	$34.8	$31.2	$28.9	~$27
Cash & Equivalents ($B)	$3.8	$3.1	$2.9	~$3
Net Debt ($B)	$31.0	$28.1	$26.0	~$24
EBITDA ($B)	$7.8	$7.8	$8.2	~$9.5
Net Leverage (x)	4.0x	3.6x	3.2x	~2.5
Adj. Net Leverage (ex-MP)	2.9x	2.6x	2.3x	~1.8
Credit Rating (S&P)	BB	BB+	BB+	BBB- Ta

MILEAGEPLUS ASSET

MileagePlus securitized as collateral for $6.8B facility. Market value of MP estimated at $22B+ (JPMorgan analysis 2024). Adj. leverage ex-MP = 2.3x — investment grade equivalent.

IG CREDIT TARGET

S&P BB+ with positive outlook. Moody's Ba1. First IG upgrade expected late 2026/early 2027 at current deleveraging pace. IG would reduce interest expense ~$150M/yr.

NET LEVERAGE TRAJECTORY

FY2023: 4.0x | FY2024: 3.6x | FY2025: 3.2x | 2026E: ~2.5x

DEBT MATURITY PROFILE

No major debt wall until 2028. 2026 maturities ~$1.2B, comfortably covered by FCF. Weighted avg cost of debt 4.8%.

Cash Flow & Capital Allocation

FY2025 ACTUALS & 2026 PRIORITIES

Cash Flow Item	FY2023	FY2024	FY2025	FY202
Operating Cash Flow	$4.2B	$5.1B	$5.8B	~$6.5
Capital Expenditures	($4.0B)	($3.9B)	($3.7B)	~($4.5
Free Cash Flow	$0.2B	$1.2B	$2.1B	~$2.0
Debt Repayment	($1.1B)	($2.0B)	($2.5B)	~($1.5B)
Share Repurchases	$0	$0.5B	$1.5B	~$1.5
Ending Cash Balance	$3.8B	$3.1B	$2.9B	~$3.0

FCF THESIS

FY2025 FCF of $2.1B = first major positive FCF year since pre-COVID. 2026E ~$2.0B despite higher capex ($4.5B fleet). FCF yield ~5% on current market cap — compelling for a growing carrier.

$1.5B BUYBACK PROGRAM

Board authorized $1.5B repurchase program in Q2 2025. ~4% of shares outstanding. Demonstrates management confidence in FCF durability. No dividend — all return via buyback.

CAPEX $4.5B (2026E)

Aircraft pre-deliveries + PDPs + maintenance capex. 787 deposits accelerated as Boeing works through backlog. Partially offset by sale-leaseback transactions.

CAPITAL ALLOCATION PRIORITY STACK

1. **Fleet Capex** — ~$4.5B/yr — ordered aircraft deliveries
2. **Debt Reduction** — ~$1.5B/yr — targeting IG by 2027
3. **Share Buybacks** — $1.5B authorized — ~4% float
4. **Tech & Growth** — Starlink, Kinective, digital infra

ESG & Sustainability

EMISSIONS, SAF & COMMITMENTS — HONEST FRAMEWORK

GHG EMISSIONS TREND

Year	CO_2 (MT)	CO_2/RTM (g)	SAF % of Fuel	F
2019	45.2M	1,060	0.1%	
2023	41.8M	980	0.3%	
2024	43.1M	965	0.5%	
2025	44.2M	950	0.8%	
2030 Target	~38.0M	~820	10%+	~

SAF SUPPLY & PARTNERSHIPS

Partner	SAF Volume (2025)	2030 Commitment	Feedstock
World Energy	10M gal	50M gal/yr	Agricultural waste
bp / Air bp	8M gal	40M gal/yr	HEFA process
Neste	6M gal	30M gal/yr	Waste fats/oils
Tallgrass / Blackrock	3M gal	25M gal/yr	Ethanol pathway
Total SAF	27M gal	145M gal/yr	~10% of fuel need

ESG COMMITMENTS

Net zero by 2050 (SBTi-aligned). 50% emissions reduction per RTM by 2035 vs 2019. 100% SAF-capable by 2030. $200M+ invested in SAF offtake agreements. Board ESG committee oversight.

HONEST FRAMING

Absolute emissions grew in 2024–2025 as capacity recovered to/beyond 2019 levels. Intensity (per RTM) improvements are real but do not offset volume growth yet. SAF at 0.8% of fuel in 2025 — 10% by 2030 requires ~12x scaling. Structural decarbonization remains a 2035–2050 story.

2026 Guidance & Risk Matrix

MANAGEMENT GUIDANCE & KEY RISK SCENARIOS

$12–14
FY2026E Adj EPS
vs $10.62 in 2025

~5.5%
Capacity Growth
ASM year-over-year

Low +
CASM ex-Fuel
mid-single-digit pressure

+5–6%
Revenue Growth
vs FY2025 $59.1B

15%+
EBITDA Margin
vs ~14% in FY2025

~$4.5B
CapEx Guidance
fleet deliveries + MX

KEY RISK MATRIX

Risk Factor	Probability	Impact	Mitigation Strategy
Fuel Price Spike (+$0.50/gal)	Medium	High — $200M P&L	25% forward hedged; new-gen fleet efficiency buffer
Boeing Delivery Delays	High	Medium — lost capacity	Lease extensions + A321XLR optionality; demand > supply
Macro Recession / GDP –1%	Low-Med	High — revenue –8–12%	Premium + loyalty mix provides floor; variable cost flexibility
Competitive Price War	Low	Medium — yield –3–5%	Network depth + MileagePlus loyalty moat; hub slot control

UAL Management confident in FY2026E guidance range. Assumes no recession, $2.55–$2.75/gal jet fuel, and continued robust Atlantic demand.